Evaluating the Impact of AI on Labor Market in the Era of Feeling Economy

DR0572

田嘉懿

杨舒然

何启文

麦烜菡

I. Introduction

The emergence of AI in recent years has triggered significant changes to society, greatly reshaping the global labor market. Traditionally, AI is considered as only able to integrate and summarize big data and charts and potentially reduce the need for lower skill repetitive labor of mankind. However, the outstanding performance of generative AI model in reasoning and creative tasks will shift the society from the "thinking economy", which emphasize analytical and logic skills, to the new "feeling economy", where humans will need to recalibrate and capitalize on strengths beyond pure intelligence—like intuition, empathy, creativity, emotion and people skills (Rust & Huang,2021). This great shift poses both challenges and new opportunities. On the one hand, AI technology is expected to replace 300 million jobs globally each year (Fan & Yang, 2023), bringing the problems of mass unemployment. There will also be concerns about information security, widening income gap and protection of intellectual property. On the other hand, AI can improve productivity of mankind and generate new demands for various mental jobs. This paper will evaluate the impacts of AI on labor market, analyze potential conflicts that could emerge with the shift in labor market demand, and provide recommendations for policies makers and workers on how to adapt to the new era.

II. The impact of AI on labor market demand

The rapid development of AI models has greatly changed the value of different skills in the labor market, shifting demand from traditional thinking economy skills to feeling economy skills. According to World Economic Forum (WEF)'s report (WEF, 2024), demand for the following skills will fall most significantly:

Firstly, Demand for reading, writing and mathematics skills will decrease by 4%, ranking the second fastest declining skill. According to OpenAI's study, approximately 80% of US workforce will have more than 10% of their writing tasks helped by large language models (LLMs) (Tyna, et al, 2023).

Secondly, Programming skill is considered as core skill in the future by only 17% of surveyed employers, ranking 23 out of 26 skills. Generative AI models are showing improved performances in coding tasks and a report predicts a 10% decline in programming employment in US by 2032 (Bryan, 2025).

Thirdly, multi-lingualism skills will also be replaced by AI translators due to AI's punctuality and enhanced ability in word-processing. Currently, 50% of translation jobs are already being distributed to AI software and an Oxford University research predicts that AI will replace literal translation within ten years. (Cawley, 2024)

The decline in demand for these thinking economy skills will be shown on the employment market. According to research from Goldman Sachs, generative AI has the potential to automate 46% of tasks related to office and administrative support, 44% on legal services, computer and mathematical by 29%, 32% in management (Briggs & Kodani, 2023).

Despite the large improvement in AI on thinking economy skills, AI's emotional intelligence is still limited, thus the significance of feeling economy skills in the labor market increases. One of the distinct examples is leadership and social influence skills, which together are recognized as core skills by 61% of employers, increasing by 56% from last survey. (WEF, 2024) Not only the employers, in a study by Pew Research Center, 42% of employees also consider social skill the "most important skills", ahead of all other surveyed skills. The need for social skills increased in 94% of occupations since 1990 in relative terms (Pew, 2020).

The increase in importance of feeling economy skills is salient in many industries. In the accounting fields, albeit 51% of accounting professionals show concern to AI job replacements, most of them consider the need for "judgement and emotional intelligence when handling clients is irreplaceable" and predicted 6% growth in employments (Bryan, 2025). In the medical industry, the data still shows demand for human doctors will increase by 4% between 2023 and 2033 because AI cannot replicate human in terms of patient care, diagnosis and especially empathy.

To summarize, various industries are adopting AI tools to enhance productivity and carry out the technical tasks performed by their employees, while continue emphasizing the human touch to their clients. The result is a general shift in labor market demand from STEM skills to social emotional skills for all industries.

III. Potential conflicts could emerge due to labor market changes

AI-induced fundamental changes in labor market demand posed significant challenges to modern societies, because the education society are not well prepared for the change. There could be potential conflicts between labor market demand and the education system, between the AI firms and the creative community, and between ordinary people when income gap widens.

Conflict between labor market demand and current education system

As concluded in the previous section, wider application of AI will reduce demand for traditional thinking skills like STEM abilities and boost demand for feeling economy skills like empathy, leadership, and networking. The current education system, however, is still designed to cultivate graduates with advanced thinking economy skills. According to the largest education outcome survey in UK, the top 4 types of work college graduates end up with are health professionals, business, HR and finance professionals, Clerical, secretarial and numerical clerks, and engineering and building professionals (Greaves, 2023). Engineering, health, secretarial clerks and finance professionals are all typical thinking economy jobs mentioned in the previous section and most of them are predicted to be in declining demand when facing challenges from AI. Future college graduates may find it difficult to apply the skills acquired during their education to meet the evolving and complex demands of the labor market. Such mismatch in labor skill acquired and labor market demand will create structural unemployment. This theme is further explored in the WEF report, which indicate that structural transformation will amount to 22% of today's total jobs (WEF, 2024).

Conflict between AI and the creative community

Previously, the creative industry is considered as the safe haven for workers when facing shocks from AI, because AI had only limited performance in artistic tasks like painting, composing, and novel writing. The recent leap of generative AI has changed the status quo. AI painting software now creates pictures much faster than human and is widely used by clients as a cheaper substitute. As reported by CNN, AI created 15 billion images in the year of 2021, which equals to the production of human photography in the past century (CNN, 2022). Same scenario also happens in the playwriting and the music industry, where generative AI are widely used to replace human work to save time and costs and not limited by labor laws.

The crisis for creative community triggers conflicts. Hollywood screenwriters, for example, fear that AI could be employed to generate or modify scripts, thereby replacing human creation. Consequently, on May 2nd 2023, the Writers Guild of America (WGA), representing over 11,500 screenwriters, initiated a strike (Antonio,2023). On July 14 of the same year, the Screen Actors Guild

(SAG) also went on strike due to disputes with film studios. The studios utilized AI technology to scan actors' faces and digitally generate performances, raising rage among actors about unauthorized use of their images for profit. This led to a collective strike action which calls the studios to share income from AI products to average actors whose works are used to train and feed AI models. (Dalton, 2023)

These conflicts underscore novel problems in the creative job market, such as fair compensation and intellectual property protection. This calls for collaboration between creative communities and policymakers to establish regulations that protect authorship and livelihoods (Greaves, 2023).

Conflict rises from the worsening income gap

AI could also lead to social unrest because it widens the existing income and wealth gap in the society in two ways. Firstly, AI replacing workers represents capital replacing labor in the production process, which means a relative fall in labor income comparing with capital interest. Secondly, AI adoption could increase the importance of tasks that are not displaced by AI, particularly in occupations with high complementarity between human labor and AI. This leads to a shift in value added and labor income toward those jobs. Higher skill workers with high complementarity with AI will enjoy disproportionate rise in average wages while lower skill workers are replaced. (Cazzaniga et al., 2024).

An IMF report examined the influence of AI on income inequality and established various models to evaluate the scale of the influence. Their Simulations suggest that higher initial income and wealth inequality could exacerbate wealth disparity, because AI-associated gains accrue predominantly to top earners who have the financial ability to invest into AI related capital and skills. Wealth Gini coefficient is predicted to be rising by 7% due to the adoption of AI. The potential of widening income and wealth gap calls for government actions to renovate AI's property rights and redistributive policies, which will ultimately shape impacts on income and wealth distribution. (Cazzaniga et al., 2024).

IV. Recommendations for Policy Makers

In order to address the potential conflicts in labor demand and supply, fair compensation from AI gains and widening income gap, we overviewed current policies regarding AI and proposed several policy recommendations for governments.

Existing policies and their problems

Most of countries have already established some policies about AI development and regulations. We reviewed AI policies of 10 different economies and created a table to summarize their common features (see appendix 1). Most of these legislations focus around the following topics: information safety and privacy protection, ethical regulations for AI, and general ideas about the equality, inclusive and fairness in AI adoption (Bologa, 2024).

But these existing policies has plenty of problems. Firstly, the regulations stress more on information safety and moral issues, but to some extent ignored economic questions, such as how to handle possible mass unemployment on the labor market or redefining property rights and right to profits in the age of AI. Secondly, the policy focus on equality and fairness are vague and lack of practical redistributive efforts to achieve these targets, especially lack of policies regarding capital and labor income. Thirdly, there is the lack of education system reform to adapt to the changing need for skills in the AI era. (Bologa, 2024).

Our policy recommendations

1. Government can use the wealth generated from the improvement of AI productivity to provide social safety nets and to prevent social unrest. For example, the government could use the extra

tax revenue from AI-boosted productivity to expand unemployment benefits or to establish a universal basic income system. This would support those whose jobs are displaced by AI-powered automation, keeping them financially stable and reducing potential unrest. (Norris & Mooij, 2024)

2. Governments should reform the education system. The education system reform should place more emphasis on the teaching and assessment of AI-related and social emotional skills. One key aspect is to change the current examination system which places too much emphasize on STEM subjects but overlook social emotional abilities. The government should not only increase social emotional trainings in the education curriculum, but provide incentive for students and families to really enhance these skills. The most effective way could be making emotional intelligence more relevant in college enrollment or civil service exams.
   Besides, ethical education regarding AI is also indispensable. We should teach students about the potential risks and social impacts of AI, so they can use this technology responsibly. Through these efforts, students can be well-equipped for an AI–driven future. (Hughes, 2023)
3. Government should adopt some redistribution policies. For example, they can adopt a more progressive taxation system to make the income gap smaller in labor market. Government can also use the increased tax revenue from progressive taxation to facilitate training and support programs for displaced labor. For example, if the play-writing industry is automated by generative AI, the government can increase taxation on the increased profits of studios and use the revenue to train writers in skills relevant to other possible professions, like AI content screener. Also, government could provide financial incentives such as relocation subsidies to encourage workers to move to areas with more job opportunities, thus ensuring a more stable social structure. ((Norris & Mooij, 2024)
4. The government should clearly define AI property rights and uphold the right of training data providers to gain income from AI. It should formulate detailed laws specifying how ownership of AI- related intellectual property, such as algorithms, data models, and AI-created content, such as AI generated pictures and music should be shared between wealthy investors of AI programs and workers whose effort are used to train the AI. This includes determining rights for developers, users, and data providers. By setting these policies, it can make the AI adoption process more inclusive, encourage innovation, and ensure a stable revenue stream for all stakeholders in the AI-driven economy, preventing possible social conflicts and reduce income inequality. (UK, 2022)
5. The government should make sure AI and social emotional skill training is universal. In this way, government can strengthen the equality of opportunity in the AI age. For example, the government could mandate comprehensive AI-basics and leadership courses in all high schools across the country. These courses would cover fundamental concepts like machine learning and teamworking. Additionally, free, high-quality online AI learning platforms and social emotional online courses could be established. This ensures that regardless of one's economic background or geographical location, all citizens have equal access to essential AI skill training. (Hughes, 2024)

V. Personal Recommendations

Recommendation for students

Possible future employees such as students should take more emotional education and cultivate different kinds of skills such as SEL (social-emotional learning) to better fulfill the needs of the feeling economy. Social-emotional learning (SEL) is developing the self-awareness, self-control, and interpersonal skills vital for school, work, and life success (Committee for Children, 2023). Through SEL, students can enhance their self-awareness, self-regulation, empathy, motivation, and social skills, which are important for improving emotional intelligence in the future by learning how to pause before responding and knowing about the limits of oneself (Harvard, 2019). Students should grasp this resource for a better career outlook. Many teenagers now lack social skills and cannot communicate effectively (Effective School Solutions, 2024). Generative AI could also help improve SEL skills by helping kids overcome social anxiety and allowing them to practice interacting with people. (Education Week, 2023)

Recommendation for replaced workers

For people who have a job that AI may replace, such as bank accountants or programmers, they should recognize these changes in labor market and train alternative skills that AI cannot easily replace. Emotional intelligence skills in jobs will good skill to start with in the future. AI lacks human emotional intelligence or the capacity to comprehend emotional connections (Prothero,2024). Also, 90% of the top performers in all jobs are high in emotional intelligence (Harvard, 2019). Improvements in emotional intelligence will help these workers to settle new career and avoid future unemployment. We also recommend these replaced workers to collaborate in political and legislative actions to call for more resources from the government and the society to support their transition to new jobs.

Recommendation for workers with high complementarity with AI

For workers who will be strengthened by AI in their work, they should also be careful with the dangers of using AI assistance. People should be aware about the possible fallacies in the information AI provides. For example, a New York lawyer cited nonexistent cases and erroneous quotes that the AI generated, leading to possible prosecution for the conduct of perjury (Moran, 2023). Another danger is that AI-generated materials often have biases from their training data, even gender or racial discriminations. An example is that when stable fusion generates pictures of architects, most of the pictures are of white men. When it generates pictures of housekeepers, most of the generations are asian women. (University of Toronto, 2025) Therefore, workers should be really careful and double-check before incorporating AI contents into their work.

Lifelong learning for everyone

For everyone, lifelong learning will be a crucial in the future. Lifelong learning is a process of gaining knowledge throughout one's life, to help people do jobs properly. The evolution of AI will never and will always challenging new industries and skills. Even the feeling economy skill could become obsolete in the far future. Therefore, workers should constantly be ready to learn new knowledge and actively adapt to macro trends of their age. No skill is permanently demanded, except of an open mind.

VI. Conclusion

AI is facilitating a general shift in labor market demand from thinking economy skills to social emotional skill, leading to conflicts between labor market demand and supply, tensions among AI and creative communities, and problem of income disparity. Government and individuals should take positive steps to adapt policies and personal choices to the characteristics of AI and feeling economy era and to achieve optimal social outcome.

Appendix 1

Country / Main part	Privacy safety	Ethics regulation of AI	Equality & fairness	Funds for AI facility
Brazil		✅		
Canada	✅		✅	
India	✅	✅		
Israel	✅	✅		
Japan	✅		✅	
Sandi Arabia	✅		✅	✅
Singapore		✅		
Republic of Korean	✅	✅		
UAE	✅		✅	✅
UK	✅		✅	

Table 1: Common features of AI legislations in 10 economies

References:

1.Greaves, Laura. “ What Do Graduates Do? ” Luminate, Oct. 2023, luminate.prospects.ac.uk/what-do-graduates-do.

2.Antonio Pequeño. “Hollywood Writers’ Strike: Here’s a Timeline of What Led to the 100-Day Mark.” Forbes, Forbes Magazine, 12 Sept. 2023,

www.forbes.com/sites/antoniopequenoiv/2023/08/09/hollywood-writers-strike-heres-a-timeline-of-what-led-to-the-100-day-mark/.

3.Dalton, Andrew. “Hollywood’s Actors Are Joining Screenwriters on Strike. Here’s Why and What Happens Next.” *AP News*, AP News, 17 July 2023, apnews.com/article/actors-strike-explained-2607dd29da6c16c0a406359a7e86d7fb.

4.Semega, Jessica, and Melissa Kollar. “ Increase in Income Inequality Driven by Real Declines in Income at the Bottom. ” Census. gov, 13 Sept. 2022, www.census.gov/library/stories/2022/09/income-inequality-increased.html.

5.Cazzaniga, Mauro. “ Gen-AI.” IMF Staff Discussion Note, vol. 2024, no. 001, 1 Jan. 2024, pp. 1– 1, https://doi.org/10.5089/9798400262548.006. Accessed 29 Feb. 2024.

6.Beckett, Lois. “ Hollywood Actors Announce Strike in First Joint Action with Writers in More than 60 Years. ” The Guardian, 13 July 2023, www.theguardian.com/us-news/2023/jul/13/hollywood-actors-union-recommends-strike-a s-talks-deadline-passes.

7.McKinsey & Company. "Superagency in the Workplace: Empowering People to Unlock AI’s Full Potential at Work." *McKinsey & Company*, 29 Feb. 2024, www.mckinsey.com/capabilities/mckinsey-digital/our-insights/superagency-in-the-workplace-empowering-people-to-unlock-ais-full-potential-at-work. Accessed 17 Feb. 2025.

8.World Economic Forum. *The Future of Jobs Report 2025.* World Economic Forum, 2025, reports.weforum.org/docs/WEF_Future_of_Jobs_Report_2025.pdf. Accessed 19 Feb. 2025.

9.Eloundou, Tyna, et al. "GPTs Are GPTs: An Early Look at the Labor Market Impact Potential of Large Language Models." *arXiv*, arXiv:2303.10130, 21 Aug. 2023, arxiv.org/abs/2303.10130. Accessed 19 Feb. 2025.

10. Robinson, Bryan. "Fears About AI Job Loss: New Study Answers If They're Justified." *Forbes*, 9 Feb. 2025, www.forbes.com/sites/bryanrobinson/2025/02/09/fears-about-ai-job-loss-new-study-answers-if-theyre-justified/. Accessed 22 Feb. 2025.

11.Briggs, Joseph, and Devesh Kodnani. *The Potentially Large Effects of Artificial Intelligence on*

Economic Growth. Goldman Sachs, Mar. 2023, www.key4biz.it/wp-content/uploads/2023/03/Global-Economics-Analyst_-The-Potentially-Large-Effects-of-Artificial-Intelligence-on-Economic-Growth-Briggs_Kodnani.pdf. Accessed 23 Feb. 2025.

12. Cawley, C. (2024, February 18). *These are the jobs that AI is actually replacing in 2024*. Tech.co. https://tech.co/news/ai-replacing-jobs

13. Pew Research Center. "Employment Is Rising Most Rapidly in Jobs Most in Need of Social, Fundamental, and Analytical Skills." *Pew Research Center*, 30 Jan. 2020, www.pewresearch.org/social-trends/2020/01/30/employment-is-rising-most-rapidly-in-jobs-most-in-need-of-social-fundamental-and-analytical-skills/. Accessed 1 Mar. 2025.

14.“What Is Social-Emotional Learning?” Committee for Children, 25 Oct. 2023, www.cfchildren.org/what-is-social-emotional-learning/.

15.“The Decline of Teenage Social Skills.” Effective School Solutions, 20 Dec. 2024, effectiveschoolsolutions.com/teenage-social-skills/.

16.Walch, Kathleen. “The Understated Soft Skill of Communication with Ai.” Forbes, Forbes Magazine, 2 July 2024, www.forbes.com/sites/kathleenwalch/2024/06/13/the-understated-soft-skill-of-communication-with-ai/.

17.Prothero, Arianna. “Artificial Intelligence and Social-Emotional Learning Are on a Collision Course.” Education Week, Education Week, 24 Oct. 2024, www.edweek.org/technology/artificial-intelligence-and-social-emotional-learning-are-on-a-collision-course/2023/11.

18.If You Work in These Jobs, It Might Be Time to Consider Your Future: The Roles Most Likely to Be Replaced by Ai, www.news.com.au/finance/work/careers/if-you-work-in-these-jobs-it-might-be-time-to-consider-your-future-the-roles-most-likely-to-be-replaced-by-ai/news-story/b9283894193f5514ccb4844eadb6ab81. Accessed 26 Feb. 2025.

19.“How to Develop Emotional Intelligence Skills: HBS Online.” Business Insights Blog, 23 Oct. 2019, online.hbs.edu/blog/post/emotional-intelligence-skills.

20.Moran, Lyle. “Lawyer Cites Fake Cases Generated by Chatgpt in Legal Brief.” Legal Dive, 30 May 2023, www.legaldive.com/news/chatgpt-fake-legal-cases-generative-ai-hallucinations/651557/.

21.“Research Guides: Artificial Intelligence for Image Research: Datasets, Bias, Discrimination.” Datasets, Bias, Discrimination - Artificial Intelligence for Image Research - Research Guides at University of Toronto, guides.library.utoronto.ca/c.php?g=735513&p=5297043. Accessed 26 Feb. 2025.

22. Rust, R.T., Huang, MH. (2021). The Feeling Economy. In: The Feeling Economy. Palgrave

Macmillan, Cham. https://doi.org/10.1007/978-3-030-52977-2_4

23. Bologa, Anda. "Overview of AI Policy in 10 Jurisdictions." *Digital Watch,* 2024, https://dig.watch/updates/overview-of-ai-policy-in-10-jurisdictions

24. Dabla-Norris, Era, and Ruud de Mooij. "Fiscal Policy Can Help Broaden the Gains of AI to Humanity." *IMF Blog*, 17 June 2024, https://www.imf.org/en/Blogs/Articles/2024/06/17/fiscal-policy-can-help-broaden-the-gains-of-ai-to-humanity.

25. Hughes, Conrad. "Artificial Intelligence and Education: The Need to Reform Assignments." *The International Educator*, 24 May 2023, https://www.tieonline.com/article/3502/artificial-intelligence-and-education-the-need-to-reform-assignments.

26. "Artificial Intelligence and Intellectual Property: Copyright and Patents." *UK Government*, 28 June 2022, https://www.gov.uk/government/consultations/artificial-intelligence-and-ip-copyright-and-patents/artificial-intelligence-and-intellectual-property-copyright-and-patents.